

Imagine being able to cherish and experience your most valuable moments in a new way. Imagine being able to hear kind words from your loved ones, relive your favourite memories, keep them close and alive at all times using your jewelry.

We are entering the new age of the jewelry industry, making it innovative and digitalized. **We are making it smart.**

Due to its strong brand awareness, broad distribution network and strong manufacturing capabilities, **PANDORA** built world's biggest and most desirable affordable jewelry brand. In order to connect with its consumers even more, it's crucial to keep up with the current market trends and stay relevant.

Satisfying the needs of generation that craves uniqueness, high level of personalization and digital value can only be done through innovative technology approach. That is why we made it our strategy to **revolutionize the experience of wearing jewelry by being the first in the industry to digitalize it.**

Our solutions consists of three steps:

1. Introducing **the Smart ME** line of jewelry with built in innovative technology solution in **PANDORA's** portfolio - **For you to adore**
2. Utilising untapped possibilities in **growing US and China markets** - **Possibilities not to ignore**
3. Expanding Smart ME jewelry collection to **all consumer segments, markets and collections** - **Opportunities to explore**

Designing and manufacturing a special line of charms with built in **NFC chips** would unlock endless possibilities of preserving **all kinds of multimedia NFTs**, accessed by the right URL. By simply scanning it with any new generation smartphone, it would lead to a programmed content forever memorized on the **blokchain**. The chip could be easily implemented in jewelry, ready to be customized and programmed on customers' demand.

This would create a great possibility to clam and significantly grow market shares in the US and in China, having in mind that the majority of both populations is tech-savy and quick to embrace new trends.

After the pilot project on our primary target markets, next step would be **expanding to the global level** as well as expanding the Smart ME line itself.

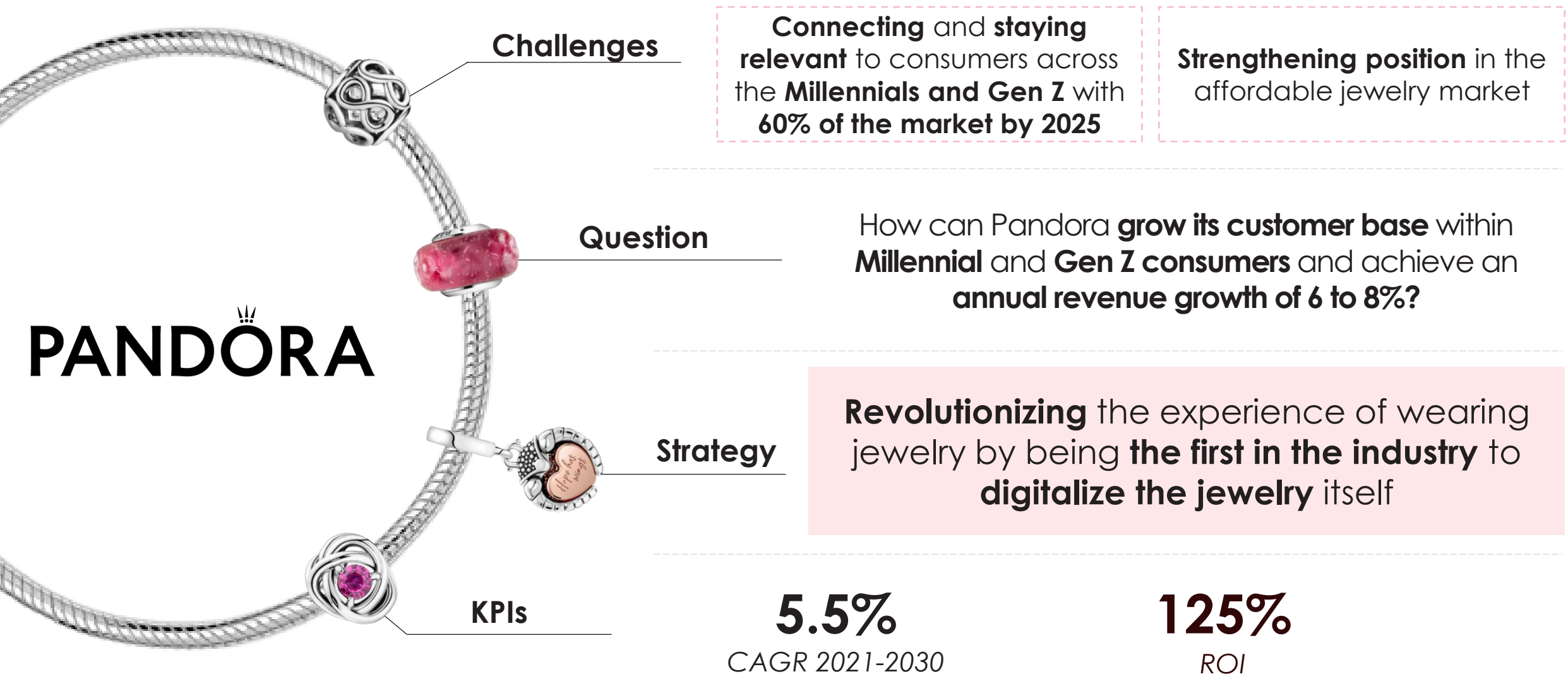
By taking this great step further in shaping the future of jewelry industry, we expect it result in **5,5 % CAGR** 2022-2030 and **125% ROI**. By offering innovative, personalized and yet collectable products, **the company would gain a revenue of 62%.**

With **PANDORA**, **memories come to life.**

With **PANDORA**
memories **come to life**



“With **PANDORA**
memories *come to life*”



A glance at Pandora's consumer...



Innovative



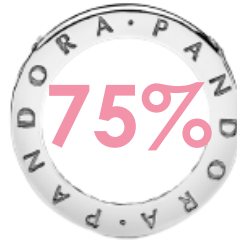
say brand authenticity plays an important role in their decisions



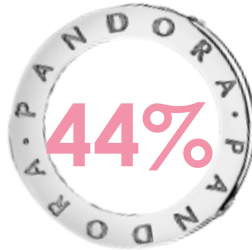
wants brands to innovate

They crave **authentic brand experiences**

Unique



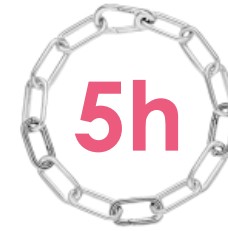
more likely to buy a product if they can customize it



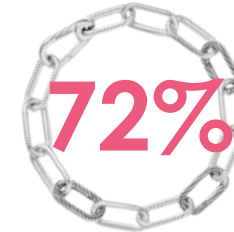
willing to trade their personal data for a more tailored experience

They are looking for the next **unique product**

Digital



spend on smart phone daily

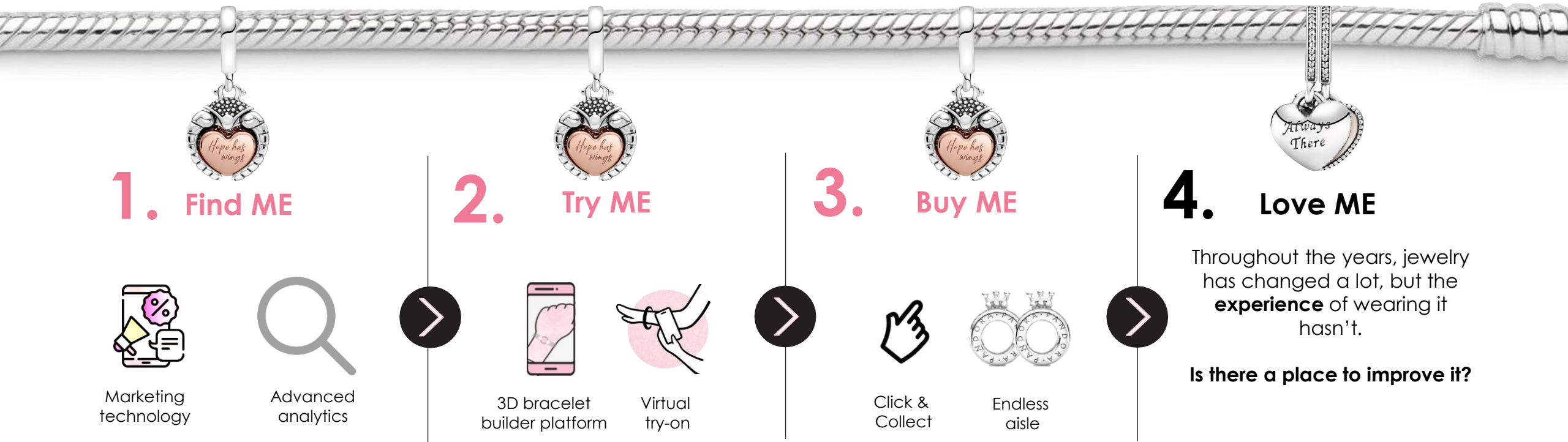


say their digital presence is as important as physical

They consider **online** presence as important as offline

To achieve the goal set by Phoenix strategy of attracting Gen Z and Millennials, **PANDORA** needs to further digitalize and personalize every step of the customer experience

PANDORA leveraged digital technology successfully in marketing and the point of sales, however the experience of wearing jewelry has not yet been digitalized



PANDORA could **revolutionize** the experience of wearing jewelry by being **the first in the industry** to **digitalize the jewelry** itself

Three step solution



For you to **adore**



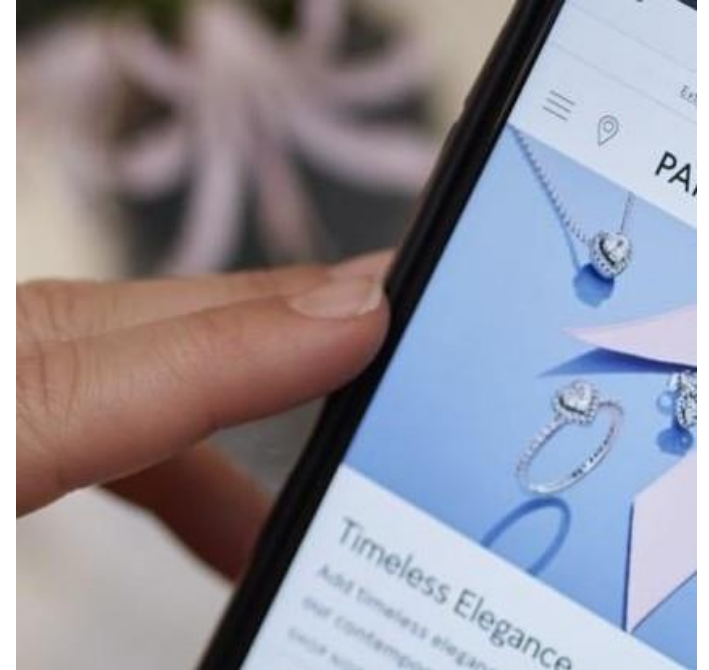
Implementing innovative technology within jewelry to introduce **Smart ME** line in **PANDORA's** portfolio

Possibilities **not to ignore**



Utilize untapped possibilities in growing markets – **US & China**

Opportunities to **explore**



Expanding Smart ME jewelry line to **all customer segments, markets & collections**

Introducing the world's first smart jewelry will allow consumers to keep their memories close to them at all times



For you to adore



Analysis

Strategy

Implementation

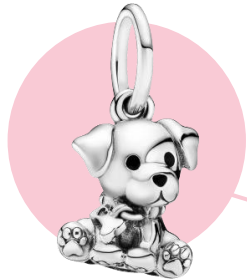
Effects

With **PANDORA** Smart ME personalization options are endless through multimedia for any occasion



Make your memories
come to life by...

...**recording audio** of
your dog barking



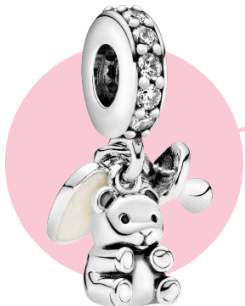
...**uploading a video**
for a family member



...**saving a picture**
with your best friend



...**hearing** your
baby's heartbeat



and many more...



Combining NFC chip technology and NFT marketplace to support Smart ME collection



PANDORA Smart ME jewelry

1.Design

Designing a special charm that can accommodate an NFC chip

2. Procurement

Out-sourcing chip production

Company: 

Headquarters: Guanzhou, China

3. Production

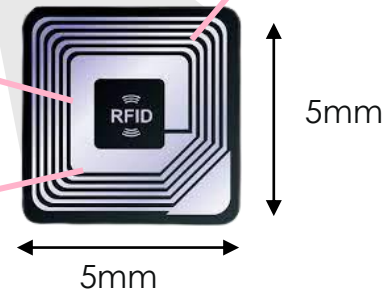
Manufacturing the charm and inserting the chip



Memory of **180 bytes**, to ensure any URL can fit

Low cost of **1.3 DKK**, to maintain high margins

Chip covered with **ferrite**, to ensure it works on metal surfaces



NFC RFID 213 Chip

Combining NFC chip technology and NFT marketplace to support Smart ME collection



Forever on the **blockchain**

partnership



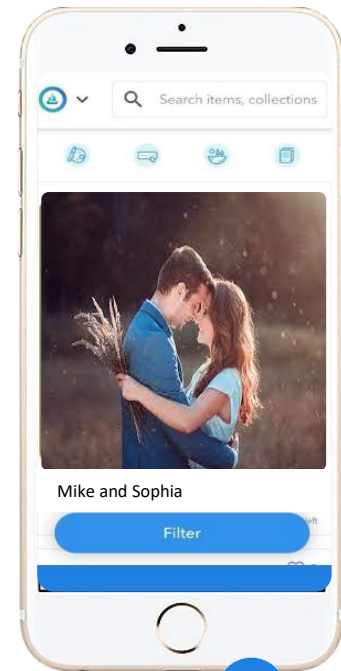
1. Pandora **creates an NFT** with the provided multimedia **from the buyer**
2. Inside the concept store the **charm's chip can be programed** with the right URL leading to a multimedia NFT on OpenSea
3.  Programing the chip is easy and can be done **with a smart phone and a free mobile app**



Customer can now scan NFC using existing smartphone **capabilities**:

1. Locate where the **NFC tag** is located on the object you are scanning
2. **Touch the back of your device** to where the NFC tag is located on the object
3. Your device **should open the URL** after reading the NFC tag.

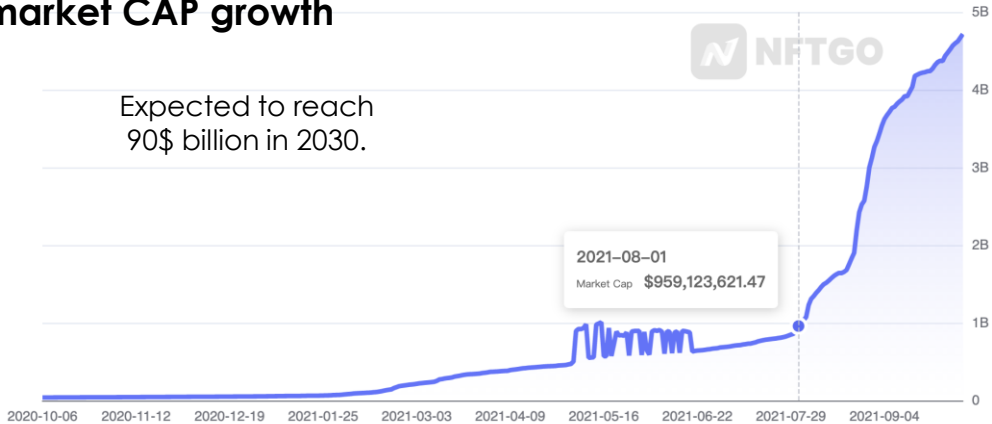
The NFT is on the OpenSea platform for enjoying **unique and timeless**



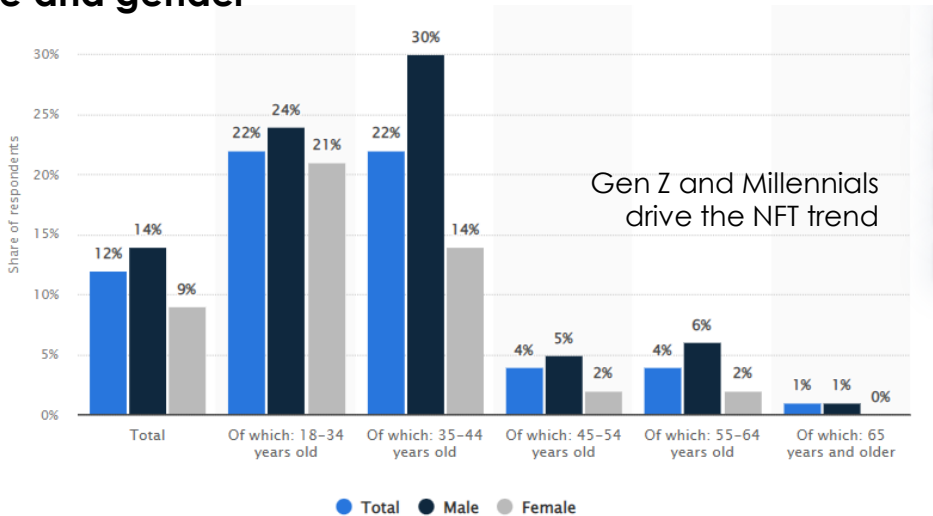
NFTs are the most popular trend with Gen Z and Millennials and their uniqueness and collectability perfectly aligns with **PANDORA** jewelry



NFT market CAP growth



NFT ownership among investors in the United States in March 2021, by age and gender



source: trustnodes.com

Similarities between NFTs and PANDORA jewelry

	NFT	PANDORA
unique	✓	✓
personal	✓	✓
collectable	✓	✓
medium	✓	✓

PANDORA Smart ME perfectly combines this to create a desirable product

In order to be the largest and most desirable brand in the affordable-jewelry market, **PANDORA** has to focus on untapped opportunities in USA and China



Possibilities not to ignore

Why these markets?

 **PANDORA**'s brand awareness is not as strong in these markets



Open to digital innovations



The US and China represent more than **50%** of the global jewelry market

How can **PANDORA** deepen it's footprint in these markets?

Adjusting to

1. Market-specific social media networks

2. Local shopping habits

3. Behavioral characteristics



Online shopping
Click&Collect

Highly influenced by social media when buying



3rd party ecommerce platforms
Omnichannel shopping

Spontaneous, buy products on the go

Analysis

Strategy

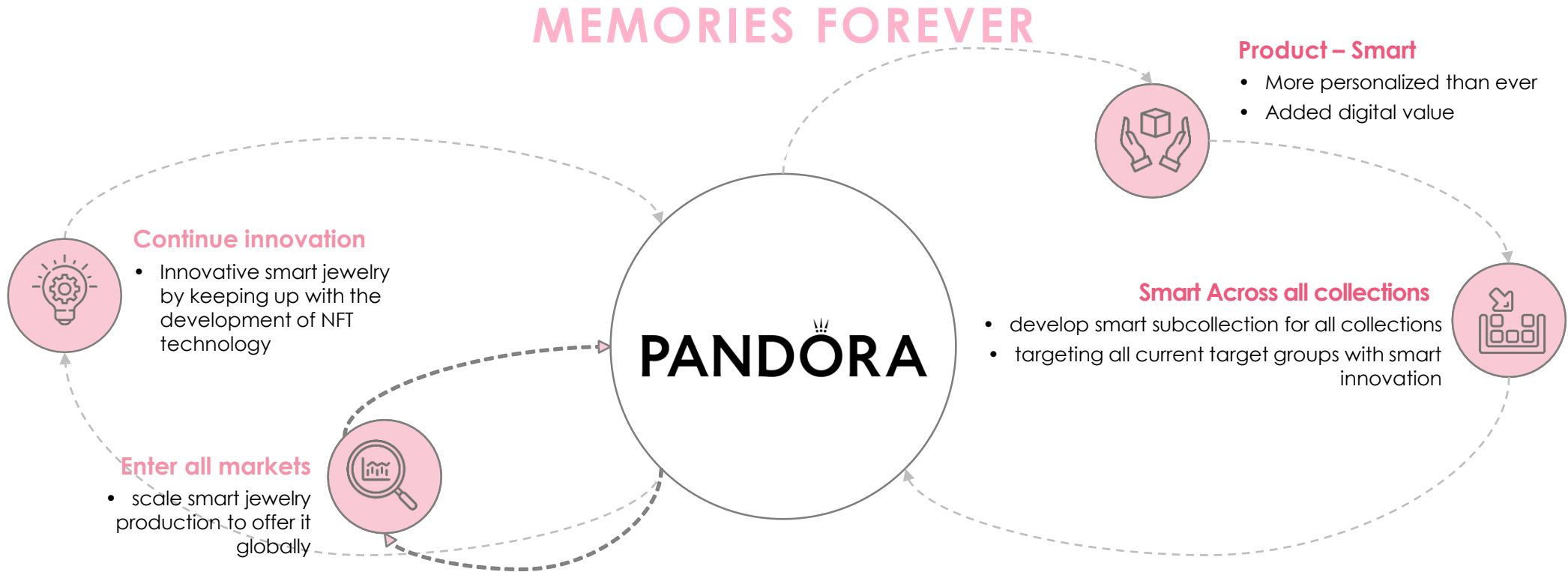
Implementation

Effects

Scaling current Smart jewelry and continue innovating what wearing jewelry is



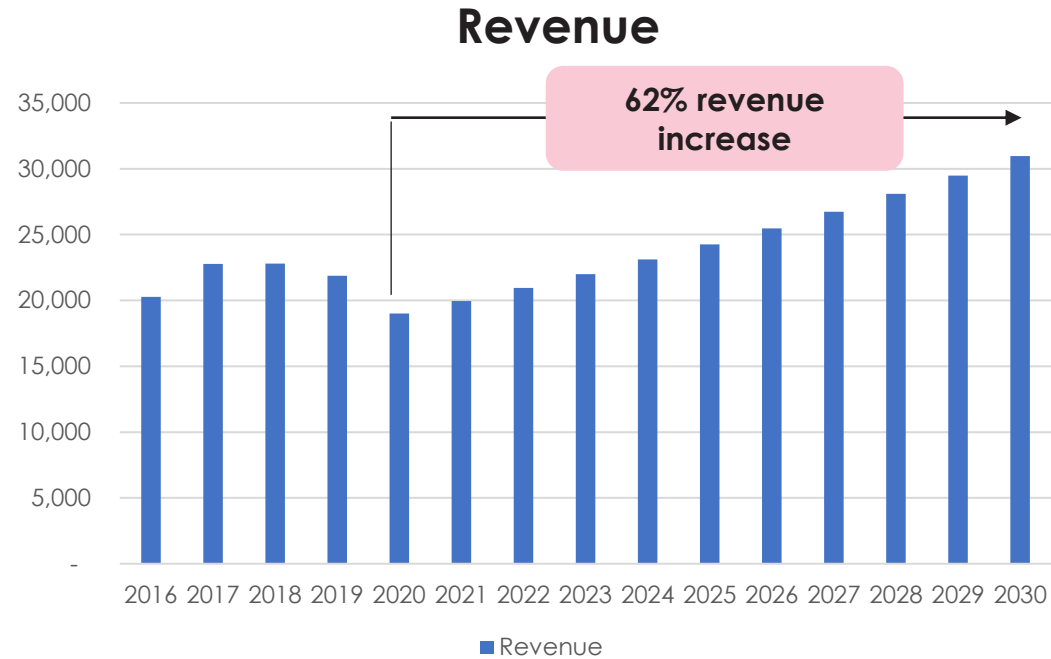
Opportunities to explore



The new smart jewelry will **differentiate** PANDORA 's offer globally and truly introduce a **new age** of wearing jewelry, easily **scalable** to all collections and **global markets**



Incremental revenue growth



5.5%
CAGR
2021-2030

125%
ROI

Key assumptions



3 year added 5% market growth rate-Covid19 recovery



Discount rate of 8.5%



Price of chip 20\$ cents per piece



Inflation rate of 2%

Main cost drivers



Production costs to accommodate chips-
+10% COGS

“With **PANDÖRA**
memories *come to life*”

Appendix



Consolidated income projection															
in DKKm	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Revenue	20,281	22,781	22,806	21,868	19,009	19,959	20,957	22,005	23,106	24,261	25,474	26,748	28,085	29,489	30,964
Cost of Sales	(5,058)	(5,815)	(5,864)	(5,966)	(4,634)	(5,097)	(5,607)	(6,168)	(6,785)	(7,124)	(7,480)	(7,854)	(8,247)	(8,659)	(9,092)
Gross profit	15,223	16,966	16,942	15,903	14,375	14,862	15,350	15,837	16,321	17,137	17,994	18,894	19,838	20,830	21,872
Sales, distribution and marketing expenses	(5,838)	(7,045)	(8,222)	(9,305)	(9,155)	(9,613)	(10,093)	(10,598)	(11,128)	(11,684)	(12,269)	(12,882)	(13,526)	(14,202)	(14,913)
Administrative expenses	(1,981)	(2,137)	(2,289)	(2,770)	(2,536)	(2,663)	(2,796)	(2,936)	(3,083)	(3,237)	(3,398)	(3,568)	(3,747)	(3,934)	(4,131)
Operating profit (EBIT)	7,404	7,784	6,431	3,829	2,684	2,587	2,461	2,304	2,110	2,216	2,327	2,443	2,565	2,694	2,828
Financial income	328	198	533	351	316	332	348	366	384	403	423	445	467	490	515
Financial costs	(82)	(315)	(382)	(351)	(507)	(532)	(559)	(587)	(616)	(647)	(679)	(713)	(749)	(787)	(826)
Profit before tax	7,650	7,667	6,582	3,829	2,494	2,386	2,250	2,083	1,878	1,972	2,071	2,174	2,283	2,397	2,517
Income tax expense	(1,625)	(1,899)	(1,537)	(884)	(556)	(584)	(613)	(644)	(676)	(710)	(745)	(782)	(821)	(863)	(906)
Net Income	6,025	5,768	5,045	2,945	1,938	1,802	1,637	1,439	1,202	1,263	1,326	1,392	1,462	1,535	1,611

Growth driven primarily from covid recovery

Growth driven from succesful implementation of Smart ME

Revenue by product category													
in DKKm	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Charms	12,126	11,395	9,646	10,128.30	10,634.72	11,166.45	11,724.77	12,311.01	13,098.92	13,937.25	14,829.23	15,778.30	16,788.11
Bracelets	4,393	4,216	3,751	3,938.55	4,135.48	4,342.25	4,559.36	4,787.33	5,093.72	5,419.72	5,766.58	6,135.64	6,528.32
Rings	3,168	3,113	2,774	2,912.70	3,058.34	3,211.25	3,371.81	3,371.81	3,371.81	3,371.81	3,371.81	3,371.81	3,371.81
Earrings	1,486	1,487	1,319	1,384.95	1,454.20	1,526.91	1,603.25	1,603.25	1,603.25	1,603.25	1,603.25	1,603.25	1,603.25
Necklaces & Pendants	1,633	1,658	1,519	1,594.95	1,674.70	1,758.43	1,846.35	1,938.67	2,062.75	2,194.76	2,335.23	2,484.68	2,643.70
Total Revenue	22,806	21,868	19,009	19,959.45	20,957.42	22,005.29	23,105.56	24,012.08	25,230.45	26,526.80	27,906.11	29,373.69	30,935.21

Growth driven primarily from categories that a suitable for NFC implementation

Analysis

Strategy

Implementation

Effects